

# Estimating Welfare in Insurance Markets Using Variation in Prices

## **Summary of “Estimating Welfare in Insurance Markets Using Variation in Prices” by Einav, Finkelstein, and Cullen**

### **Broad Question**

How can we estimate the welfare losses in insurance markets using variation in pricing?

### **Specific Question**

What is the impact of inefficient pricing on consumer welfare in the health insurance market? Specifically, in markets with selection, the authors seek to provide a framework to estimate demand, cost, and then recover welfare implications of pricing strategies.

### **Policy Relevance**

Understanding welfare losses in insurance markets is crucial for policymakers aiming to design regulations that improve market efficiency and consumer outcomes. This research can inform decisions on pricing regulations, subsidies, and mandates in health insurance markets. Insurance markets are a large point of emphasis in public policy, and inefficiencies can lead to significant welfare losses for consumers.

### **Economic Relevance**

The study contributes to the literature on market efficiency, adverse selection, and consumer welfare in insurance markets. It provides both a theoretical and empirical framework for estimating welfare losses due to pricing inefficiencies, which is relevant for economists studying market design and regulation.

## **What We Learn**

The authors develop a method of estimating welfare losses in insurance markets by leveraging variation in prices. Unfortunately, they do not find that they are able to provide significant estimates of welfare losses in their empirical application to the U.S. health insurance market. However, they do provide a framework that can be extended to estimate welfare implications of pricing strategies in insurance markets. They are, however, able to estimate demand and cost functions in the market, as well as graphically show clear evidence of adverse selection.

## **Empirics**

The authors use data from a company, Alcoa, Inc. to analyze the health insurance choices of its employees. They exploit variation in prices across different insurance plans offered to employees to estimate demand and cost functions. The empirical strategy involves using a structural model to recover welfare implications from the estimated demand and cost functions. The authors then use OLS to estimate the relationship between prices and quantities demanded, controlling for plan characteristics and individual heterogeneity. They then find that while they can estimate demand and cost functions, they are unable to provide significant estimates of welfare losses in their empirical application. The main weakness is the same in many demand estimation papers: they are unable to know the underlying distribution of revealed preferences in the population, which limits their ability to estimate welfare losses accurately. However, a strength of the paper is its clear theoretical framework and empirical strategy, which can be applied to insurance markets if extended as described above.